



ANNUAL FOREIGN EXCHANGE REVIEW ZMW VS MAJOR CURRENCIES EXECUTIVE SUMMARY

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OVERVIEW

The objective of this report is to analyze historical exchange rate trends of the Zambian Kwacha (ZMW) against major currencies such as United States Dollar(USD), Euro (EUR), British Pound (GBP), and South African Rand (ZAR), and to determine an optimal average exchange rate target that a central bank could consider for policy guidance. The model walks you through how the Kwacha is structurally weak but stabilizing, how volatility remains elevated, how inflation continues to drive depreciation and how recent appreciation may be temporary.

FINDINGS AND RECOMMENDATIONS

The analysis observes that the Zambian Kwacha has suffered long-term structural depreciation but is currently exhibiting indications of stabilization, with fewer dramatic volatility in recent years. Historical statistics show that volatility has been fueled by macroeconomic shocks, however increased policy discipline appears to be dampening these fluctuations. The average exchange rate of roughly 16.22 ZMW/USD places the currency in a steadier mid-range than previous peaks above 30. Short-term indicators suggest that a recent appreciation, but this is likely temporary and should be interpreted with caution due to ongoing volatility risks. The analysis further shows a strong relationship between inflation and exchange rate movements indicating that domestic price instability continues to weaken the currency. This not only emphasizes the need for a credible monetary framework but also highlights that Zambia's exposure to major global currencies increases its vulnerability to external shocks.

CONCLUSION

The continuance of exchange rate movements indicates that the economy has not yet reached a low volatility environment, notwithstanding some stabilization. To reconcile inflation control, export competitiveness, overall macroeconomic stability, and investor confidence, the research suggests a managed exchange rate regime with a target band of 15–18 ZMW/USD, maintained through central bank intervention.